MSKA & Associates
Chartered Accountants

1101/B, Manjeera Trinity Corporate
JNTU-Hitech City Road, Kukatpally
Telangana State, Hyderabad 500072, INDIA

INDEPENDENT AUDITOR'S REPORT

To the Members of **Tanla Digital (India) Private Limited**

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of Tanla Digital (India) Private Limited, which comprise the Balance Sheet as at March 31, 2024, the Statement of Profit and Loss, including Other Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and notes to the financial statements, including material accounting policy information and other explanatory information (hereinafter referred to as the "financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with Companies (Indian Accounting Standards) Rules, 2015, as amended ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024, its profit including other comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

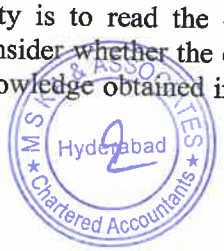
We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our opinion.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Director's report but does not include the financial statements and our auditor's report thereon. The Director's report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.



When we read the Director's report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance under SA 720 'The Auditor's responsibilities Relating to Other Information'.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

We give in "Annexure A" a detailed description of Auditor's responsibilities for Audit of the Financial Statements.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2. As required by Section 143(3) of the Act, we report that:

   (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.



(b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books except for the matters stated in the paragraph 2(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit & Auditors) Rules, 2014 as amended.

(c) The Balance Sheet, the Statement of Profit and Loss including other comprehensive income, the Statement of Changes in Equity and the Statement of Cash Flow dealt with by this report are in agreement with the books of account.

(d) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act.

(e) On the basis of the written representations received from the directors as on March 31, 2024 taken on record by the Board of Directors, none of the directors are disqualified as on March 31, 2024 from being appointed as a director in terms of Section 164 (2) of the Act.

(f) The reservation relating to the maintenance of accounts and other matters connected therewith are as stated in paragraph 2(b) above on reporting under Section 143(3)(b) and paragraph 2(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit & Auditors) Rules, 2014 as amended.

(g) With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure C".

(h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. The Company does not have any pending litigations which would impact its financial position.

ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

iv.

i. The Management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.



ii. The Management has represented, that, to the best of its knowledge and belief, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities (Funding Parties), with the understanding, whether recorded in writing or otherwise, as on the date of this audit report, that the Company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

iii. Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, and according to the information and explanations provided to us by the Management in this regard nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii)

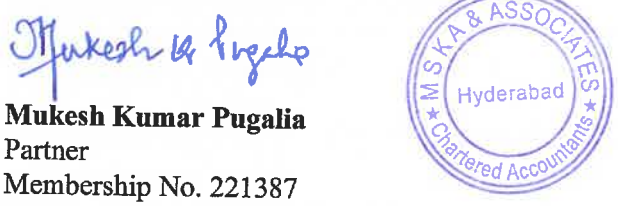
v. The Company has neither declared nor paid any dividend during the year.

vi. With respect to reporting on audit trail under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 as amended, on the use of accounting software used by the Company for maintaining its books of accounts, we report as follows.

Based on our examination, the Company has used a cloud-based accounting software which is operated and managed by a third-party software service provider, for maintaining its books of account. In the absence of independent service auditors report, we are unable to comment whether the software has a feature of recording audit trail (edit log) facility nor are we able to comment on whether the audit trail feature was enabled in the said software and operated throughout the year for all transactions recorded in the software. We are further unable to comment as to whether there were any instances of the audit trail feature been tampered with.

3. In our opinion, according to information, explanations given to us, the provisions of section 197 of the Act and the rules made thereunder are not applicable to the company as it is a private limited company.

For M S K A & Associates
Chartered Accountants
ICAI Firm Registration No. 105047W



Mukesh Kumar Pugalia
Partner
Membership No. 221387
UDIN: 24221387BKELXH9197

Place: Hyderabad
Date: April 25, 2024

ANNEXURE A TO THE INDEPENDENT AUDITOR'S REPORT ON EVEN DATE ON THE FINANCIAL STATEMENTS OF TANLA DIGITAL (INDIA) PRIVATE LIMITED

Auditor's Responsibilities for the Audit of the Financial Statements

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management and Board of Directors.

- Conclude on the appropriateness of management and Board of Director's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

For M S K A & Associates
Chartered Accountants
ICAI Firm Registration No. 105047W

Mukesh Kumar Pugalia
Partner
Membership No. 221387
UDIN: 24221387BKELXH9197



Place: Hyderabad
Date: April 25, 2024

ANNEXURE B TO INDEPENDENT AUDITORS' REPORT OF EVEN DATE ON THE FINANCIAL STATEMENTS OF TANLA DIGITAL (INDIA) PRIVATE LIMITED FOR THE YEAR ENDED MARCH 31, 2024

[Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' in the Independent Auditors' Report]

i.

a.

A. The Company has maintained proper records showing full particulars including quantitative details and situation of property, plant and equipment.

B. The Company has maintained proper records showing full particulars of intangible assets.

b. Property, Plant and Equipment have been physically verified by the management during the year and no material discrepancies were identified on such verification.

c. According to the information and explanations given to us, there are no immovable properties, and accordingly, the provisions stated under clause 3(i)(c) of the Order are not applicable to the Company.

d. According to the information and explanations given to us, the Company has not revalued its property, plant and Equipment and intangible assets during the year. Accordingly, the provisions stated under clause 3(i)(d) of the Order are not applicable to the Company.

e. According to the information and explanations given to us, no proceeding has been initiated or pending against the Company for holding benami property under the Benami Transactions (Prohibition) Act, 1988, as amended and rules made thereunder. Accordingly, the provisions stated under clause 3(i)(e) of the Order are not applicable to the Company.

ii.

a. The Company is involved in the business of rendering services and does not hold any inventory. Accordingly, the provisions stated under clause 3(ii)(a) of the Order are not applicable to the Company.

b. The Company has not been sanctioned any working capital limits during the year on the basis of security of current assets. Accordingly, the provisions stated under clause 3(ii)(b) of the Order are not applicable to the Company.

iii. According to the information and explanation provided to us, the Company has not made any investments in, or provided any guarantee or security, or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the provisions stated under clause 3(iii) of the Order are not applicable to the Company.

iv. According to the information and explanations given to us, the Company has complied with the provisions of Section 185 and 186 of the Act, in respect of loans, investments, guarantees and security made.



v. According to the information and explanations given to us, the Company has neither accepted any deposits from the public nor any amounts which are deemed to be deposits, within the meaning of Sections 73, 74, 75 and 76 of the Act and the rules framed there under. Accordingly, the provisions stated under clause 3(iv) of the Order are not applicable to the Company. Also, there are no amounts outstanding as on March 31, 2024, which are in the nature of deposits.

vi. The provisions of sub-Section (1) of Section 148 of the Act are not applicable to the Company as the Central Government of India has not specified the maintenance of cost records for any of the services of the Company. Accordingly, the provisions stated under clause 3(vi) of the Order are not applicable to the Company.

vii.

a. According to the information and explanations given to us and the records of the Company examined by us, in our opinion, undisputed statutory dues of goods and services tax, income-tax, duty of customs, cess, and other statutory dues have been regularly deposited by the Company with appropriate authorities in all cases during the year.

There are no undisputed amounts payable in respect of Goods and Services tax, income-tax, duty of customs, cess, and other statutory dues in arrears as at March 31, 2024, outstanding for a period of more than six months from the date they became payable.

b. According to the information and explanation given to us and the records of the Company examined by us, there are no dues relating to goods and services tax, income-tax, duty of customs, cess, and other statutory dues which have not been deposited on account of any dispute.

viii. According to the information and explanations given to us, there are no transactions which are not accounted in the books of account which have been surrendered or disclosed as income during the year in Income-tax assessment of the Company. Accordingly, the provisions stated under clause 3(viii) of the Order are not applicable to the Company.

ix.

a. The Company does not have any loans or borrowings or interest thereon due to any lenders during the year. Accordingly, the provisions stated under clause 3(ix)(a) to (d) of the Order are not applicable to the Company.

e. The Company does not have any subsidiary, associate, or joint venture. Accordingly, reporting under clause 3(ix)(e) of the Order are not applicable to the Company.

f. The Company does not have any subsidiary, associate, or joint venture. Accordingly, reporting under clause 3(ix)(f) of the Order are not applicable to the Company.

x.

a. In our opinion and according to the information explanation given to us, the Company did not raise any money by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, the provisions stated under clause 3(x)(a) of the Order are not applicable to the Company.



b. According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully, partly, or optionally convertible debentures during the year. Accordingly, the provisions stated under clause 3(x)(b) of the Order are not applicable to the Company.

xi.

a. Based on our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, and according to the information and explanations given to us, we report that no material fraud by the Company or on the Company has been noticed or reported during the year in the course of our audit.

b. Based on our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, and according to the information and explanations given to us, a report under Section 143(12) of the Act, in Form ADT-4, as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 was not required to be filed with the Central Government. Accordingly, the provisions stated under clause 3(xi)(b) of the Order are not applicable to the Company.

c. As represented to us by the Management, there are no whistle-blower complaints received by the Company during the year.

xii. The Company is not a Nidhi Company. Accordingly, the provisions stated under clause 3(xii)(a) to (c) of the Order are not applicable to the Company.

xiii. According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with Sections 177 and 188 of the Act, where applicable and details of such transactions have been disclosed in the financial statements as required by the applicable Accounting Standards.

xiv. In our opinion and based on our examination, the Company does not have an internal audit system and is not required to have an internal audit system as per the provisions of the Act. Accordingly, reporting under clause 3(xiv) of the Order are not applicable to the Company.

xv. According to the information and explanations given to us, in our opinion, during the year, the Company has not entered into any non-cash transactions with directors or persons connected with its directors and accordingly, the reporting on compliance with the provisions of Section 192 of the Act in clause 3(xv) of the Order are not applicable to the Company.

xvi.

a. The Company is not required to be registered under Section 45 IA of the Reserve Bank of India Act, 1934 and accordingly, the provisions stated under clause 3(xvi)(a) of the Order are not applicable to the Company.

b. The Company is not engaged in any Non-Banking Financial or Housing Finance activities during the year and accordingly, the provisions stated under clause 3 (xvi)(b) of the Order are not applicable to the Company.

MSKA & ASSOCIATES Hyderabad Chartered Accountants

c. The Company is not a Core investment Company (CIC) as defined in the regulations made by Reserve Bank of India. Accordingly, the provisions stated under clause 3 (xvi)(c) of the Order are not applicable to the Company.

d. According to the information and explanations provided to us, the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) does not have any Core Investment Company as part of its group. Accordingly, the provisions stated under clause 3(xvi)(d) of the Order are not applicable to the Company.

xvii. Based on the overall review of financial statements, the Company has not incurred cash losses in the current financial year and in the immediately preceding financial year. Accordingly, the provisions stated under clause 3(xvii) of the Order are not applicable to the Company.

xviii. There has been no resignation of the statutory auditors during the year. Accordingly, the provisions stated under clause 3(xviii) of the Order are not applicable to the Company.

xix. According to the information and explanations given to us and on the basis of the financial ratios (as disclosed in note 29 to the financial statements), ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

xx. According to the information and explanations given to us and based on our verification, the provisions of Section 135 of the Act, are applicable to the Company. The Company has made the required contributions during the year and there are no unspent amounts which are required to be transferred either to a Fund specified in schedule VII of the Act or to a Special Account as per the provisions of Section 135 of the Act read with schedule VII to the Act. Accordingly, reporting under clause 3(xx)(a) and 3(xx)(b) of the Order are not applicable to the Company.

xxi. According to the information and explanations given to us, the Company does not have any Subsidiary, Associate or Joint Venture. Accordingly, reporting under Clause 3(xxi) of the Order are not applicable.

For M S K A & Associates
Chartered Accountants
ICAI Firm Registration No. 105047W

Mukesh Kumar Pugalia
Partner
Membership No. 221387
UDIN: 24221387BKELXH9197
Place: April 25, 2024
Date: Hyderabad

ANNEXURE C TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE FINANCIAL STATEMENTS OF TANLA DIGITAL (INDIA) PRIVATE LIMITED

[Referred to in paragraph 2(g) under 'Report on Other Legal and Regulatory Requirements' in the Independent Auditors' Report of even date to the Members of Tanla Digital (India) Private Limited on the Financial Statements for the year ended March 31, 2024

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls with reference to financial statements of Tanla digital (India) Private Limited as of March 31, 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Opinion

In our opinion, the Company has in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2024, based on the internal control with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI) (the "Guidance Note").

Managements' and Board of Director's Responsibility for Internal Financial Controls

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal control with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.



Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained, is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

Meaning of Internal Financial Controls With reference to Financial Statements

A company's internal financial control with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls With reference to financial statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial control with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For M S K A & Associates
Chartered Accountants
ICAI Firm Registration No. 105047W

Mukesh Kumar Pugalia
Partner
Membership No. 221387
UDIN: 24221387BKELXH9197

M S K A & ASSOCIATES Hyderabad Chartered Accountants

Place: Hyderabad
Date: April 25, 2024

Tanla Digital (India) Private Limited
Balance Sheet as at March 31, 2024
(All amounts are in INR Lakhs, except for share data and where otherwise stated)

Particulars	Note	As at March 31, 2024	As at March 31, 2023
I. ASSETS			
Non-current assets			
(a) Property, plant and equipment	3A	469.53	575.06
(b) Intangible assets	3B	2.99	-
(c) Non-current tax assets (net)	4	59.60	183.00
Total non-current assets		**532.12**	**758.06**
Current Assets			
(a) Financial assets			
(i) Trade receivables	5	1,692.12	4,224.67
(ii) Cash and cash equivalents	6	2,400.21	302.54
(iii) Other financial assets	7	176.52	1,015.99
Total current assets		**4,268.85**	**5,543.20**
TOTAL ASSETS		**4,800.97**	**6,301.26**
II. EQUITY AND LIABILITIES			
Equity			
(a) Equity share capital	8	1.00	1.00
(b) Other equity	9	3,595.16	1,622.11
Total equity		**3,596.16**	**1,623.11**
Liabilities			
Non current liabilities			
Deferred tax liabilities (net)	10	52.88	38.96
Current liabilities		**52.88**	**38.96**
(a) Financial liabilities			
(i) Trade payables	11		
a) total outstanding dues of micro enterprises and small enterprises		16.12	39.32
b) total outstanding dues of creditors other than micro enterprises and small enterprises		227.81	3,218.40
(ii) Other financial liabilities	12	772.31	1,130.79
(b) Current tax liabilities (net)	13	-	250.67
(c) Other current liabilities	14	135.69	-
Total current liabilities		**1,151.93**	**4,639.18**
Total liabilities		**1,204.81**	**4,678.14**
TOTAL EQUITY AND LIABILITIES		**4,800.97**	**6,301.26**
The accompanying notes form an integral part of the financial statements	1-31		

As per our report of even date attached
For M S K A & Associates
Chartered Accountants
Firm Registration No. 105047W

Mukesh Kumar Pugalia
Partner
Membership No. 221387

Place: Hyderabad
Date: April 25, 2024

For and on behalf of the Board of Directors of
Tanla Digital (India) Private Limited
CIN: U72900TG2021PTC152756

D. Uday Kumar Reddy
Director
DIN: 00003382

Place: Hyderabad
Date: April 25, 2024

Aravind Viswanathan
Director
DIN: 08036024

Place: Hyderabad
Date: April 25, 2024

Tanla Digital (India) Private Limited
Statement of Profit and Loss for the year ended March 31, 2024
(All amounts are in INR Lakhs, except for share data and where otherwise stated)

Particulars	Note	For the year ended March 31, 2024	For the year ended March 31, 2023
Income			
I. Revenue from operations	15(a)	5,208.75	5,535.23
II.Other income	15(b)	36.89	18.04
III. Total Income		**5,245.64**	**5,553.27**
IV. Expenses			
Cost of Services	16	2,400.00	3,189.71
Connectivity and related expenses	17	1.22	0.85
Depreciation and amortisation expense	18	106.07	102.82
Other expenses	19	96.79	125.32
Total expenses (IV)		**2,604.08**	**3,418.70**
V. Profit before tax (IV - III)		**2,641.56**	**2,134.57**
VI. Income tax expense:			
Current tax	20	654.59	498.42
Adjustment of tax related to prior periods	20	-	0.07
Deferred tax	20	13.92	38.96
Total tax expense (VI)		**668.51**	**537.45**
VII. Profit for the year (V-VI)		**1,973.05**	**1,597.12**
VIII. Other comprehensive income			
(I) Items that will not be reclassified to profit or loss		-	-
Remeasurements of the net defined benefit liability		-	-
Income tax relating to items that will not be reclassified to profit or loss		-	-
Total Other comprehensive income, net of taxes		**-**	**-**
IX. Total Comprehensive income for the year (VII+ VIII)		**1,973.05**	**1,597.12**
X. Earnings per equity share of par value, INR 10 /-each			
1. Basic (INR)	21	19,730.50	15,971.24
2. Diluted (INR)		19,730.50	15,971.24

The accompanying notes form an integral part of the financial statements 1-31

As per our report of even date attached
For M S K A & Associates
Chartered Accountants
Firm Registration No. 105047W

Mukesh Kumar Pugalia
Partner
Membership No. 221387

Place: Hyderabad
Date: April 25, 2024

For and on behalf of the Board of Directors of
Tanla Digital (India) Private Limited
CIN: U72900TG2021PTC152756

D. Uday Kumar Reddy
Director
DIN: 00003382

Place: Hyderabad
Date: April 25, 2024

Aravind Viswanathan
Director
DIN: 08036024

Place: Hyderabad
Date: April 25, 2024

Tanla Digital (India) Private Limited
Statement of Cash flows for the year ended March 31, 2024
(All amounts are in INR Lakhs, except for share data and where otherwise stated)

	Particulars	For the period March 31, 2024	For the period March 31, 2023
A	**CASH FLOWS FROM OPERATING ACTIVITIES:**		
	Profit before tax	**2,641.56**	**2,134.57**
	Adjustments for :		
	Unrealised foreign exchange (gain) / loss	59.30	97.52
	Depreciation and amortisation expense	106.07	102.82
	Interest Income	(36.89)	(18.04)
	Operating profit before working capital changes	**2,770.04**	**2,316.87**
	Changes in operating assets and liabilities		
	(Increase)/Decrease in trade receivables	2,532.55	(3,873.77)
	(Increase)/Decrease in other financial and non-financial assets	854.36	(833.74)
	Increase/(Decrease) in trade payables	(3,073.09)	2,710.16
	Increase/(Decrease) in other financial and non-financial liabilities	(222.80)	241.82
	Cash generated from operations	**2,861.06**	**561.34**
	Income taxes paid (net)	(781.86)	(339.86)
	Net cash flows from operating activities	**2,079.20**	**221.48**
B	**CASH FLOWS FROM INVESTING ACTIVITIES:**		
	Interest income received	22.00	18.04
	Payments for acquisition of property, plant and equipment and intangible assets	(3.53)	(64.06)
	Net cash flows from/(used in) investing activities	**18.47**	**(46.02)**
C	**Net increase/(decrease) in cash and cash equivalents (A)+(B)**	2,097.67	175.46
D	**Cash and cash equivalents at the beginning of the year**	302.54	127.08
E	**Cash and cash equivalents at the end of the year** (refer note 6)	**2,400.21**	**302.54**

The accompanying notes form an integral part of the financial statements 1-31

As per our report of even date attached
For M S K A & Associates
Chartered Accountants
Firm Registration No. 105047W

Mukesh Kumar Pugalia
Partner
Membership No. 221387

Place: Hyderabad
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For and on behalf of the Board of Directors of
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Director
DIN: 08036024

Place: Hyderabad
Date: April 25, 2024

Tanla Digital (India) Private Limited

Statement of changes in equity for the year ended March 31, 2024

(All amounts are in INR Lakhs, except for share data and where otherwise stated)

A. Equity share capital

Particulars	Note	For the year ended March 31, 2024		For the year ended March 31, 2023	
		No of shares	Amount	No of shares	Amount
Equity shares of INR. 10/- each issued, subscribed and fully paid:					
Opening	8	10,000	1.00	10,000	1.00
Add: Shares issued during the year		-	-	-	-
Closing balance		**10,000**	**1.00**	**10,000**	**1.00**

B. Other Equity

Particulars	Note	Reserves & Surplus	Total
		Retained earnings	
Balance as at April 01, 2023		**1,622.11**	**1,622.11**
Profit for the period March 31, 2024	9	1,973.05	1,973.05
Balance as at March 31, 2024		**3,595.16**	**3,595.16**
Balance as at April 01, 2022		**24.99**	**24.99**
Profit for the period March 31, 2023	9	1,597.12	1,597.12
Balance as at March 31, 2023		**1,622.11**	**1,622.11**

The accompanying notes form an integral part of the financial statements 1-31

As per our report of even date
For M S K A & Associates
Chartered Accountants
Firm Registration No. 105047W

Mukesh Kumar Pugalia
Partner
Membership No. 221387

Place: Hyderabad
Date: April 25, 2024

For and on behalf of the Board of Directors of
Tanla Digital (India) Private Limited
CIN: U72900TG2021PTC152756

D. Uday Kumar Reddy
Director
DIN: 00003382

Place: Hyderabad
Date: April 25, 2024

Aravind Viswanathan
Director
DIN: 08036024

Place: Hyderabad
Date: April 25, 2024

1 Corporate Information

Tanla Digital (India) Private Limited ("Tanla" or "the Company") is a private limited company domiciled in India and was incorporated on July 02, 2021 under the provision of the Companies Act, 2013 applicable in India and it is into A2P messaging platform provider globally. Its registered and principal place of business is located at Tanla Technology Centre, Hitech city road, Madhapur, Hyderabad - 500089. The Company has its headquarters and development facilities in Hyderabad, India and serves a global customer base. The Company develops and delivers cutting-edge technology and products which meet the discerning needs of a diverse clientele, from enterprises to carriers across geographies.

2 Material accounting policies

2.1 Basis of Preparation of Financial Statements

(a) Statement of compliance with Ind AS

The financial statements of the Company have been prepared in accordance with Indian Accounting Standards ("Ind AS") as notified under Section 133 of the Companies Act, 2013 (the "Act") read with Rule 3 of the Companies (Indian Accounting Standards) Rules 2015 as amended, issued by Ministry of Corporate Affairs ('MCA').

Accounting policies have been consistently applied to all the years presented except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use. These financial statements have been prepared for the Company as a going concern on the basis of relevant Ind AS that are effective at the Company's annual reporting date March 31, 2024.

The Ind AS financial statements were approved by the board of directors of the Company on April 25, 2024.

(b) Basis of measurement

The financial statements have been prepared on a historical cost convention on accrual basis, except for the following material items that have been measured at fair value as required by relevant Ind AS:-

i) Certain financial assets and liabilities measured at fair value (refer accounting policy 2.14 on financial instruments)

ii) Net defined benefit assets / (liabilities) are measured at fair value of plan assets, less present value of defined benefit obligations.

All assets and liabilities have been classified as current or non-current as per the Company's operating cycle and other criteria set out in the Schedule III to the Companies Act, 2013. Based on the nature of services and the time between the rendering of service and their realisation in cash and cash equivalents, the Company has ascertained its operating cycle as twelve months for the purpose of current and noncurrent classification of assets and liabilities.

(c) Presentation currency and rounding off

The financial statements are presented in Indian National Rupees (INR) and all values are rounded to nearest lakhs (INR 00,000), except when otherwise

(d) Use of estimates

The preparation of these financial statements in conformity with Ind AS requires the Management to make estimates and assumptions that affect the reported amount of assets and liabilities as at the Balance Sheet date, reported amount of revenue and expenses for the year and disclosures of contingent liabilities as at the Balance Sheet date. The estimates and assumptions used in the accompanying consolidated financial statements are based upon the Management's evaluation of the relevant facts and circumstances as at the date of the financial statements. Actual results could differ from these estimates. Estimates and underlying assumptions are reviewed on a periodic basis. Revisions to accounting estimates, if any, are recognised in the year in which the estimates are revised and in any future years affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

— Useful lives of property, plant and equipment;
— Impairment;
— Financial instruments;
— Provisions;
— Income taxes

2.2 Current and non-current classification

All the assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Division II – Ind AS Schedule III to the Act. The Company presents assets and liabilities in the balance sheet based on current/ non-current classification.

An asset is classified as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period
- All other assets are classified as non-current.

A liability is classified as current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

Current assets / liabilities include the current portion of non-current assets / liabilities respectively. All other assets / liabilities including deferred tax assets and liabilities are classified as non-current.

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Tanla Digital (India) Private Limited ★ Hyderabad

2.3 Property, plant and equipment

Items of property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses, if any. The cost comprises purchase price, taxes (other than those subsequently recoverable from tax authorities), borrowing cost if capitalisation criteria are met and directly attributable cost of bringing the asset to its working condition for the intended use.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to Statement of Profit and Loss during the year in which they are incurred.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the income statement when the asset is derecognised.

Depreciation methods, estimated useful lives

The Company depreciates property, plant and equipment over their estimated useful lives using the straight line method. The estimated useful lives of assets are as follows:

Property, plant and equipment	Useful Life (Years)
Platforms & Deployments	6 years
Vehicles	8 years

Based on the technical assessment of useful life, certain items of property plant and equipment are being depreciated over useful lives different from the prescribed useful lives under Schedule II to the Act. Management believes that such estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used, the residual value of assets are not more than 5% of original cost the asset.

Depreciation on addition to property plant and equipment is provided on pro-rata basis from the date of acquisition. Depreciation on sale/deduction from property plant and equipment is provided up to the date preceding the date of sale, deduction as the case may be. Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in Statement of Profit and Loss.

Depreciation methods, useful lives and residual values are reviewed periodically at each financial year end and adjusted prospectively, as appropriate.

2.4 Intangible Assets

Intangible assets are stated at acquisition cost, net of accumulated amortisation.

The Company amortises intangible assets over their estimated useful lives using the straight line method. The estimated useful lives of intangible assets are as follows:

Intangible assets	Useful Life (Years)
Computer software	6 years

2.5 Trade and other payables

These amounts represent liabilities for goods and services provided to the company prior to the end of the financial year which are unpaid. The amounts are unsecured and are usually paid within the normal trade cycle as per agreement. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period.

2.6 Foreign Currency Transactions

(a) Functional and presentation currency

Items included in the financial statements are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Indian National Rupees (INR), which is the Company's functional and presentation

(b) Transactions and balances

Transactions in foreign currencies are translated to the functional currency of the Company at exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting period are translated into the functional currency at the exchange rate at that date. Non-monetary items denominated in foreign currencies which are carried at historical cost are reported using the exchange rate at the date of the transaction; and non-monetary items which are carried at fair value or any other similar valuation denominated in a foreign currency are reported using the exchange rates at the date when the fair value was measured.

Exchange differences arising on monetary items on settlement, or restatement as at reporting date, at rates different from those at which they were initially recorded, are recognised in the statement of profit and loss in the year in which they arise.

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Tanla Digital (India) Private Limited Hyderabad

2.7 Impairment of non-financial assets

The carrying amounts of the Company's tangible and intangible assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated in order to determine the extent of the impairment loss, if any.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or the cash generating unit for which the estimates of future cash flows have not been adjusted. For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised in the Statement of profit or loss if the estimated recoverable amount of an asset or its cash generating unit is lower than its carrying amount. If, at the reporting date there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed and reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been previously recognised.

2.8 Fair value measurement

The Company measures financial instruments at fair value at each balance sheet date.
Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability accessible to the Company.

The Company has an established control framework with respect to the measurement of fair values. This includes periodic review of all significant fair value measurement, including level 3 fair values.

The management regularly reviews significant unobservable inputs and valuation adjustments.

Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows.
- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

When measuring the fair value of an asset or a liability, the Company uses observable market data as far as possible. If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

'The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the changes has occurred
Further information about the assumptions made in measuring fair values is included in the Notes to accounts.

2.9 Revenue Recognition

The Company derives revenues primarily from Messaging services (A2P) and International Long Distance.

(i) Revenue is recognised upon transfer of control of promised services to customers in an amount that reflects the consideration we expect to receive in exchange for those services.
(ii) Revenue from messaging services is recognised based on the no. of messages submitted/delivered on a fixed price, fixed-time frame contracts where there is no uncertainty as to measurement of collectability. Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured.
(iii) Revenue on time proportion based contract are recognised as the related services are performed and revenue from the end of the last invoicing to the reporting date is recognised as unbilled revenue.

2.10 Other Income

Interest Income is recognised on a basis of effective interest method as set out in Ind AS 109, Financial Instruments, and where no significant uncertainty as to measurability or collectability exists.

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Tanla Digital (India) Private Limited Hyderabad

2.11 Taxes

Tax expense for the year, comprising current tax and deferred tax, are included in the determination of the net profit or loss for the year.

(a) **Current tax**

Current tax assets and liabilities are measured at the amount expected to be recovered or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the year end date. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

(b) **Deferred tax**

Deferred income tax is provided in full, using the balance sheet approach, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in financial statements. Deferred income tax is also not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting profit nor taxable profit (tax loss). Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the end of the year and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred tax assets are recognised for all deductible temporary differences and unused tax losses only if it is probable that future taxable amounts will be available to utilise those temporary differences and losses.

Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority.

Current and deferred tax is recognised in Statement of Profit and Loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

2.12 Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value.

For the purposes of the cash flow statement, cash and cash equivalents include cash on hand, cash in banks and short-term deposits.

2.13 Cash Flow Statement

Cash flows are reported using the indirect method, whereby Profit / (loss) before exceptional items and income tax is adjusted for the effects of transactions of a non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from regular revenue generating, investing and financing activities of the Company are segregated.

2.14 Financial instruments

Initial Recognition and measurement

Trade receivables are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Company becomes a party to the contractual provisions of the instrument.

A financial asset or financial liability is initially measured at fair value and, for an item not at fair value through profit and loss (FVTPL), transaction costs that are directly attributable to its acquisition or issue.

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

(a) Financial assets

(i) Initial Recognition

On initial recognition, a financial asset is classified as measured at

- amortised cost;
- fair value through other comprehensive income ("FVTOCI") – debt investment;
- FVTOCI – equity investment; or
- FVTPL

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Company changes its business model for managing financial assets.

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Tanla Digital (India) Private Limited ★ Hyderabad

(ii) Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in following categories:

a) at amortised cost; or

b) at fair value through other comprehensive income; or

c) at fair value through profit or loss.

The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows.

Amortised cost:

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in Other Income in the statement of profit or loss. The losses arising from impairment are recognised in the statement of profit or loss.

Fair value through other comprehensive income (FVOCI):

Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses which are recognised in Statement of Profit and Loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to Statement of Profit and Loss and recognised in other gains/ (losses). Interest income from these financial assets is included in other income using the effective interest rate method.

Fair value through profit or loss (FVTPL):

Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. Interest income from these financial assets is included in other income.

(iii) Impairment of financial assets

In accordance with Ind AS 109, Financial Instruments, the Company applies expected credit loss (ECL) model for measurement and recognition of impairment loss on financial assets that are measured at amortised cost and FVOCI.

For recognition of impairment loss on financial assets and risk exposure, the Company determines that whether there has been a significant increase in the credit risk since initial recognition. If credit risk has not increased significantly, 12-month ECL is used to provide for impairment loss. However, if credit risk has increased significantly, lifetime ECL is used. If in subsequent years, credit quality of the instrument improves such that there is no longer a significant increase in credit risk since initial recognition, then the entity reverts to recognising impairment loss allowance based on 12 month ECL.

Life time ECLs are the expected credit losses resulting from all possible default events over the expected life of a financial instrument. The 12 month ECL is a portion of the lifetime ECL which results from default events that are possible within 12 months after the year end.

ECL is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the entity expects to receive (i.e. all shortfalls), discounted at the original EIR. When estimating the cash flows, an entity is required to consider all contractual terms of the financial instrument (including prepayment, extension etc.) over the expected life of the financial instrument. However, in rare cases when the expected life of the financial instrument cannot be estimated reliably, then the entity is required to use the remaining contractual term of the financial instrument.

In general, it is presumed that credit risk has significantly increased since initial recognition if the payment is more than 30 days past due.

ECL impairment loss allowance (or reversal) recognised during the year is recognised as income/expense in the statement of profit and loss. In balance sheet ECL for financial assets measured at amortised cost is presented as an allowance, i.e. as an integral part of the measurement of those assets in the balance sheet. The allowance reduces the net carrying amount. Until the asset meets write off criteria, the Company does not reduce impairment allowance from the gross carrying amount.

(iv) **Derecognition of financial assets**

A financial asset is derecognised only when

a) the rights to receive cash flows from the financial asset is transferred or

b) retains the contractual rights to receive the cash flows of the financial asset, but assumes a contractual obligation to pay the cash flows to one or more recipients.

Where the financial asset is transferred then in that case financial asset is derecognised only if substantially all risks and rewards of ownership of the financial asset is transferred. Where the entity has not transferred substantially all risks and rewards of ownership of the financial asset, the financial asset is not derecognised.





(b) Financial liabilities

(i) ***Initial recognition and measurement***

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss and at amortised cost, as appropriate. All financial liabilities are recognised initially at fair value and, in the case of payables, net of directly attributable transaction costs.

(ii) ***Subsequent measurement***

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Gains or losses on liabilities held for trading are recognised in the Statement of Profit and Loss.

Financial liabilities at amortised cost

Financial liabilities are subsequently carried at amortised cost using the effective interest method. For trade and other payables maturing within one year from the Balance Sheet date, the carrying amounts approximate fair value due to the short maturity of these instruments.

(iii) ***Derecognition***

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the Statement of Profit and Loss as finance costs.

(c) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount is reported in the balance sheet where there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company

2.15 Provisions, contingent liabilities and contingent assets

Provisions are recognised only when there is a present obligation, as a result of past events, and when a reliable estimate of the amount of obligation can be made at the reporting date. These estimates are reviewed at each reporting date and adjusted to reflect the current best estimates. Provisions are discounted to their present values, where the time value of money is material.

Contingent liability is disclosed for:

- Possible obligations which will be confirmed only by future events not wholly within the control of the Company; or
- Present obligations arising from past events where it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made.

Contingent assets are neither recognised nor disclosed. However, when realisation of income is virtually certain, related asset is recognised.

2.16 Earnings Per Share

Basic earnings per share is calculated by dividing the net profit or loss for the year attributable to equity shareholders by the weighted average number of equity shares outstanding during the year. The weighted average number of equity shares outstanding during the year and for all the years presented is adjusted for events, such as bonus shares, other than the conversion of potential equity shares, that have changed the number of equity shares outstanding, without a corresponding change in resources.

For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year is adjusted for the effects of all dilutive potential equity shares.

2.17 Significant accounting judgments, estimates and assumptions

The preparation of financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future years.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the year end date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the

2.18 Recent accounting pronouncements

The Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standard) Amendment Rules as issued from time to time. For the year ended March 31, 2024, MCA has not notified any new standards or amendments relating to existing standards applicable to the Company.





Tanla Digital (India) Private Limited
Notes forming part of the Financial Statements for the year ended March 31, 2024
(All amounts are in INR Lakhs, except for share data and where otherwise stated)

Note 3A: Property, plant and equipment

	Gross carrying amount				Depreciation				Net carrying amount	
	As at April 01, 2023	Additions	Deletions	As at March 31, 2024	As at April 01, 2023	For the year	Deletions	As at March 31, 2024	As at March 31, 2024	As at March 31, 2023
Owned assets										
Computers	646.94	-	-	646.94	101.10	102.43	-	203.53	443.41	545.84
Vehicles	30.94	-	-	30.94	1.72	3.10	-	4.82	26.12	29.22
Total	**677.88**	**-**	**-**	**677.88**	**102.82**	**105.53**	**-**	**208.35**	**469.53**	**575.06**

	Gross carrying amount				Depreciation				Net carrying amount	
	As at April 01, 2022	Additions	Delations	As at March 31, 2023	As at April 01, 2022	For the year	Delations	As at March 31, 2023	As at March 31, 2023	As at March 31, 2022
Owned assets										
Computers	613.82	33.12	-	646.94	-	101.10	-	101.10	545.84	613.82
Vehicles	-	30.94	-	30.94	-	1.72	-	1.72	29.22	-
Total	**613.82**	**64.06**	**-**	**677.88**	**-**	**102.82**	**-**	**102.82**	**575.06**	**613.82**

Note 3B: Intangible assets

	Gross carrying amount				Amortisation				Net carrying amount	
	As at April 01, 2023	Additions	Deletions	As at March 31, 2024	As at April 01, 2023	For the year	Deletions	As at March 31, 2024	As at March 31, 2024	As at March 31, 2023
Owned assets										
Software	-	3.53	-	3.53	-	0.54	-	0.54	2.99	-
Total	-	-	-	-	-	-	-	-	-	-
	-	**3.53**	-	**3.53**	-	**0.54**	-	**0.54**	**2.99**	-

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Note 4
Non-current tax assets (net)

Particulars	As at March 31, 2024	As at March 31, 2023
Income tax asset (net)	59.60	183.00
Total	**59.60**	**183.00**

Note 5
Trade receivables

Particulars	As at March 31, 2024	As at March 31, 2023
Trade receivables		
Unsecured		
Trade receivables-considered good (refer note 2 below)	1,692.12	4,224.67
Less: Allowances for expected credit loss	-	-
Trade receivables-considered impaired		
Less: Allowances for expected credit loss	-	-
Total	-	-
	1,692.12	**4,224.67**

Note:
1. There are no trade or other receivables which are either due from directors or other officers of the Company either severally or jointly with any other person nor from firms or private companies respectively in which any director is a partner, or director or a member (other than entities under common control as disclosed in note 28)
2. Includes dues from related parties (refer note 28)
3. Trade receivables are non-interest bearing and are generally on credit terms of 0 to 30 days. The Company does not hold any collateral security. Refer Note 23 for information about the Company exposure to financial risks, and details of allowance for expected credit loss for trade receivables and fair values.

Trade receivables ageing schedule:
As at March 31, 2024

Particulars	Outstanding for following periods from due date						
	Not due	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed trade receivables:							
Considered good	25.26	1,511.35	-	155.51	-	-	1,692.12
Credit impaired	-	-	-	-	-	-	-
Disputed Trade Receivables	-	-	-	-	-	-	-
Considered good	-	-	-	-	-	-	-
Credit impaired	-	-	-	-	-	-	-
Total	**25.26**	**1,511.35**	**-**	**155.51**	**-**	**-**	**1,692.12**
Less: Allowance for expected credit loss	-	-	-	-	-	-	-
Balance at the end of the year	**25.26**	**1,511.35**	**-**	**155.51**	**-**	**-**	**1,692.12**

As at March 31, 2023

Particulars	Outstanding for following periods from due date						
	Not due	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed trade receivables:							
Considered good	139.20	3,912.67	172.80	-	-	-	4,224.67
Credit impaired		-	-	-	-	-	-
Disputed Trade Receivables		-	-	-	-	-	-
Considered good		-	-	-	-	-	-
Credit impaired		-	-	-	-	-	-
Total	**139.20**	**3,912.67**	**172.80**	**-**	**-**	**-**	**4,224.67**
Less: Allowance for expected credit loss	-	-	-	-	-	-	-
Balance at the end of the year	**139.20**	**3,912.67**	**172.80**	**-**	**-**	**-**	**4,224.67**

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Note 6

Cash and cash equivalents

Particulars	As at March 31, 2024	As at March 31, 2023
Balances with banks		
In current accounts	6.50	52.54
Deposits account*	2,393.71	250.00
Total	**2,400.21**	**302.54**

* The deposits maintained by the Company with banks comprise of time deposits, which can be withdrawn by the Company at any point without prior notice or penalty on the principal.

Note 7

Other current financial assets

Particulars	As at March 31, 2024	As at March 31, 2023
Unsecured, considered good		
(a) Accrued income*	161.08	1,015.44
(b) Interest receivable	15.44	0.55
Total	**176.52**	**1,015.99**

* Accrued income is the closing unbilled revenue ageing less than 30 days from the service usage month.

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Note 8: Equity Share Capital

Particulars	As at March 31, 2024	As at March 31, 2023
(i) Authorised		
100,000 equity shares of INR. 10/- each (100,000 equity shares as of March 31, 2023)	10.00	10.00
(ii) Issued, Subscribed and fully paid up:		
10,000 equity shares of INR. 10/- each (10,000 equity shares as of March 31, 2023)	1.00	1.00
Total	1.00	**1.00**

(i) Reconciliation of the equity shares outstanding at the beginning and at the end of the reporting year:

Particulars	As at March 31, 2024		As at March 31, 2023	
	No. of Shares	Amount	No. of Shares	Amount
Shares outstanding at the beginning of the year	10,000	1.00	10,000	1.00
Add: Issued and allotted during the year	-	-	-	-
Less: Shares bought back during the year	-	-	-	-
Shares outstanding at the end of the year	**10,000**	**1.00**	**10,000**	**1.00**

ii) Rights, preferences and restrictions attached to the equity shares:
The Company has only one class of equity shares having a par value of Rs. 10 per share. Each holder of equity shares is entitled to one vote per share held. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

iii) Details of shareholders holding more than 5% shares in the Company:

Particulars	As at March 31, 2024		As at March 31, 2023	
	No. of Shares	% of holding	No. of Shares	% of holding
Tanla Digital Labs Private Limited	9,999	99.99%	9,999	99.99%

iv) The details of shares held by promoter in the Company:

Particulars	As at March 31, 2024		As at March 31, 2023	
	No. of Shares	% of holding	No. of Shares	% of holding
Dasari Uday Kumar Reddy	1	0.01%	-	-
Dasari Tanuja Reddy	-	-	1	0.01%

v) No class of shares have been issued as bonus shares or for consideration other than cash by the Company in the last five preceeding financial years.

vi) No class of shares have been bought back by the Company during the period of five years immediately preceeding the current year.

vii) Tanla Digital Labs Private Limited is the holding Company of Tanla Digital (India) Private Limited and there has been no change in the shareholding during the current financial year and previous financial year. Tanla Platforms Limited is the ultimate Holding Company of Tanla Digital Labs Private Limited.

Note 9
Other equity

Particulars	As at March 31, 2024	As at March 31, 2023
(i) Retained earnings		
Opening balance	1,622.11	24.99
Profit for the year	1,973.05	1,597.12
Closing balance	**3,595.16**	**1,622.11**

Nature and purpose of reserves:
Retained earnings: Retained earnings are the profits that the company has earned till date less any transfers to general reserve, dividend or other distribution to share holders.





Note 10
Deferred tax liabilities (net)

Particulars	As at March 31, 2024	As at March 31, 2023
Deferred tax liabilities (net)	52.88	38.96
Total	**52.88**	**38.96**

Deferred tax relates to following (also refer note 20):

Particulars	As at April 01, 2023	Recognised in statement of profit and loss	Recognised in other comprehensive income	As at March 31, 2024
Deferred tax liabilities				
On property, plant and equipment	38.96	13.83	-	52.79
On Intangible asset	-	0.09	-	0.09
Total	**38.96**	**13.92**	**-**	**52.88**

Particulars	As at April 01, 2022	Recognised in statement of profit and loss	Recognised in other comprehensive income	As at March 31, 2023
Deferred tax liabilities				
On property, plant and equipment	-	38.96	-	38.96
Total	**-**	**38.96**	**-**	**38.96**

Note 11
Trade payables

Particulars	As at March 31, 2024	As at March 31, 2023
Total outstanding dues of micro enterprise and small enterprises (MSME)	16.12	39.32
Total outstanding dues of creditors other than micro enterprises and small enterprises	227.81	3,218.40
Total	**243.93**	**3,257.72**

Notes:
1. Refer note 25 for the details of amounts due to suppliers under The Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act).
2. Creditors other than micro and small enterprises are non-interest bearing and are settled as per the normal trade cycle.
3. The Company's exposure to currency risks, liquidity risks and interest rate risks are disclosed in note 23.
4. Refer note 28 for amounts payable to related parties.

Trade payables ageing schedule
As at March 31, 2024

Particulars	Outstanding for following periods from due date					
	Not due	Less than 1 Year	1-2 Years	2-3 Years	More Than 3 Years	Total
i) MSME	16.12	-	-	-	-	16.12
ii) Others	48.71	160.70	18.40	-	-	227.81
iii) Disputed Dues-MSME	-	-	-	-	-	-
iv) Disputed Dues-Others	-	-	-	-	-	-
v) Unbilled dues	-	-	-	-	-	-
Total	**64.83**	**160.70**	**18.40**	**-**	**-**	**243.93**

Trade payables ageing schedule
As at March 31, 2023

Particulars	Outstanding for following periods from due date					
	Not due	Less than 1 Year	1-2 Years	2-3 Years	More Than 3 Years	Total
i) MSME	-	39.32	-	-	-	39.32
ii) Others	418.82	2,667.55	132.03	-	-	3,218.40
iii) Disputed Dues-MSME	-	-	-	-	-	-
iv) Disputed Dues-Others	-	-	-	-	-	-
v) Unbilled dues	-	-	-	-	-	-
Total	**418.82**	**2,706.87**	**132.03**	**-**	**-**	**3,257.72**

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Note 12
Other current financial liabilities

Particulars	As at March 31, 2024	As at March 31, 2023
Payable to related parties (refer note 28)	640.76	740.76
Other payable - cost of services	119.13	381.47
Other liabilities	12.42	8.56
Total	**772.31**	**1,130.79**

Note 13
Income tax liabilities, net

Particulars	As at March 31, 2024	As at March 31, 2023
Provision for income tax	-	250.67
Total	**-**	**250.67**

Note 14
Other current liabilities

Particulars	As at March 31, 2024	As at March 31, 2023
Statutory dues payable	135.69	-
Total	**135.69**	**-**

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Note 15(a)
Revenue from operations

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Sale of services (refer note 27)	5,208.75	5,535.23
Total	**5,208.75**	**5,535.23**

Note 15(b)
Other income

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Interest income	36.89	18.04
Total	**36.89**	**18.04**

Note 16
Cost of Services

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Cost of Services	2,400.00	3,189.71
Total	**2,400.00**	**3,189.71**

Note 17
Connectivity and related expenses

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Data centre and hosting charges	1.22	0.85
Total	**1.22**	**0.85**

Note 18
Depreciation and amortisation expenses

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Deprecation on property, plant and equipment (refer note 3A)	105.53	102.82
Amortisation on intangible assers (refer note 3B)	0.54	-
Total	**106.07**	**102.82**

Note 19
Other expenses

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Rent, rates & taxes	0.55	12.33
Repairs and maintenance	-	0.10
Office maintenance	0.35	-
Insurance expense	0.50	0.84
Audit Fees (Refer Note 1 below)	6.76	6.78
Professional charges	13.11	7.75
Unrealised foreign exchange (gain) / loss	59.30	97.52
Corporate social responsibility (Refer note 2 below)	16.22	-
Total	**96.79**	**125.32**

Note 1:
Following is the break-up of Auditors remuneration (exclusive of GST):

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Statutory audit	6.50	6.50
Reimbursement of expenses	0.26	0.28
Total	**6.76**	**6.78**

Note 2:
Corporate Social Responsibility

As per Section 135 of the Act, a company, meeting the applicability threshold, needs to spend at least 2% of its average net profit for the immediately preceding three financial years on corporate social responsibility (CSR) activities.

Details of CSR expenditure :

Particulars	March 31, 2024	March 31, 2023
(i) Gross amount required to be spent by the Company during the year	16.22	-
(ii) Amount approved by the Board to be spent by the respective entities in the Group during the year	16.22	-
(iii) Amount of expenditure incurred	16.22	-
(iv) Shortfall at the end of the year	-	-
(v) Total of previous years shortfall	-	-
(vi) Reason for shortfall	NA	NA
(vii) Nature of CSR activities	Refer note below	
(viii) Details of related party transactions	NA	NA
(ix) Where a provision is made in respect to a liability incurred by entering into a contractual obligation, the movements in provision	NA	NA

Promoting education, including special education and employment enhancing vocation skills especially among children, women, elderly and the differently abled and livelihood enhancement projects.

Note 20
(a) Income tax expense

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Income tax expense		
Current tax		
Current tax	654.59	498.42
Adjustment of tax related to prior periods	-	0.07
Deferred tax	13.92	38.96
Total income tax expense recognised in the Statement of Profit and Loss	**668.51**	**537.45**

The major components of income tax expense and the reconciliation of expected tax expense based on the domestic effective tax rate of the Company at 25.17% (31 March,2023: 25.17%) and the reported tax expense in the statement of profit and loss is as follows:

(b) Reconciliation of effective tax rate:

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
(i) Profit before tax	**2,641.56**	**2,134.57**
Statutory income tax rate	25.17%	25.17%
Tax at statutory income tax rate	**664.88**	**537.27**
(ii) Tax effect of:		
Others adjustments	3.63	0.18
Income tax expense	**668.51**	**537.45**

Note 21
Earnings per share

Basic earnings per share is calculated by dividing the profit/(loss) for the year attributable to equity share holders by the weighted average number of equity shares outstanding during the year.

Diluted earnings per share is calculated by dividing the profit/(loss) attributable to equity holders by the weighted average number of equity shares outstanding during the year plus the weighted average number of equity shares that would be issued on conversion of all the dilutive potential equity shares into equity shares.

The following reflects the income and share data used in the basic and diluted EPS computations:

Particulars	As at March 31, 2024	As at March 31, 2023
Profit after tax	**1,973.05**	**1,597.12**
Number of equity shares at the beginning of the year	10,000	10,000
Add: Issue of equity shares	-	-
Number of equity shares at the end of the year	10,000	10,000
Weighted average number of equity shares	**10,000**	**10,000**
Weighted average number of equity shares for computation of Basic and Diluted EPS	10,000	10,000
Nominal value per share (Rs.)	10.00	10.00
Basic earnings per share (Rs.)	19,730.50	15,971.24
Diluted earnings per share (Rs.)	19,730.50	15,971.24





Note 22
Financial Instruments
Fair values of financial assets and financial liabilities
The fair value of other current financial assets, cash and cash equivalents, trade receivables, trade payables and other financial liabilities approximates the carrying amounts because of the short term nature of these financial instruments. Financial assets that are neither past due nor impaired include cash and cash equivalents and other financial assets.

Fair value hierarchy
The following is the hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:
•Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.
•Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
•Level 3 - Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).
No financial assets/liabilities have been valued using level 1 fair value measurements.

The following table presents fair value hierarchy of assets and liabilities measured at fair value on a recurring basis:

S. No.	Particulars	Carrying value As at March 31, 2024	Fair Value As at March 31, 2024	Carrying value As at March 31, 2023	Fair Value As at March 31, 2023
(i)	**Financial Assets:**				
	Amortised cost				
	Trade Receivables	1,692.12	1,692.12	4,224.67	4,224.67
	Cash and bank balances	2,400.21	2,400.21	302.54	302.54
	Other financial assets	176.52	176.52	1,015.99	1,015.99
	Total Financial assets	**4,268.85**	**4,268.85**	**5,543.20**	**5,543.20**
(ii)	**Financial Liabilities:**				
	Amortised cost				
	Trade payables	243.93	243.93	3,257.72	3,257.72
	Other financial liabilities	772.31	772.31	1,130.79	1,130.79
	Total Financial Liabilities	**1,016.24**	**1,016.24**	**4,388.51**	**4,388.51**

The carrying amounts of trade receivables, other financial assets, trade payables and cash and cash equivalents are considered to be the same as their fair values, due to their short-term nature.

Note 23
Financial risk management
The Company is exposed to various financial risks. These risks are categorised into market risk, credit risk and liquidity risk. The Company's risk management is coordinated by the Board of Directors and focuses on securing long term and short term cash flows. The Company does not engage in trading of financial assets for speculative purposes.

(a) Market Risk
Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: interest rate risk, currency risk and other price risk, such as equity price risk and commodity risk. Financial instruments affected by market risk include borrowings and derivative financial instruments.

(i) Foreign currency risk
Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Company's operating activities (when revenue or expense is denominated in a different currency from the Company's functional currency). The Company invoices customers and vendors operating outside India and is exposed to foreign currency rate risk through its operating activates.

Particulars	As at March 31, 2024	As at March 31, 2023
Financial liabilities		
Trade payables		
- USD	243.93	3,257.72
Total	**243.93**	**3,257.72**

(ii) Interest rate risk
Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's investment in deposits with banks are for short durations and therefore do not expose the Company to significant interest rate risk. The Company's principle source of liquidity are cash and cash equivalents and the cash flow generated from operations. The Company believes that the working capital is sufficient to meet its current requirements and accordingly, no risk is perceived.

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(b) Liquidity Risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they become due. The Company manages its liquidity risk by ensuring, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due.
The table below summarises the maturity profile of the Company's financial liabilities:

Particulars	Due in 1 year	1 - 2 years	3-5 years	> 5 years
As at March 31, 2024				
Financial Liabilities				
Trade Payables	243.93	-	-	-
Other financial liabilities	772.31	-	-	-
Total	**1,016.24**	-	-	-

Particulars	Due in 1 year	1 - 2 years	3-5 years	> 5 years
As at March 31, 2023				
Financial Liabilities				
Trade Payables	3,257.72	-	-	-
Other financial liabilities	1,130.79	-	-	-
Total	**4,388.51**	-	-	-

(c) Credit Risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivables from customers, loans and advances and also arises from cash held with banks and financial institutions. The maximum exposure to credit risk is equal to the carrying value of the financial assets. The objective of managing counterparty credit risk is to prevent losses in financial assets. The Company assesses the credit quality of the counterparties, taking into account their financial position, past experience and other factors.

Trade receivables

The customer's credit risk is managed by an established policy, procedures and control relating to customer credit risk management.
Credit quality of a customer is assessed based on the individual credit limits are defined in accordance with the assessment and outstanding customer receivables are regularly monitored.
The Company establishes an allowance for impairment that represents its estimate of expected losses in respect of trade receivables. The maximum exposure to credit risk as at reporting date is primarily from trade receivables amounting to INR.1,692.12 Lakhs (March 31, 2023 is INR. 4,224.67 Lakhs). As per the policy no allowance for doubtful debts is required to be created.

Note 24

Capital Management

The Company's objective when managing capital is to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. Total capital is the equity as shown in the statement of financial position. The Company primarily monitors its capital structure on the basis of the following gearing ratio. Management is continuously evolving strategies to optimise the returns and reduce the risks. It includes plans to optimise the financial leverage of the Company.

Particulars	As at March 31, 2024	As at March 31, 2023
Cash and cash equivalents	2,400.21	302.54
Net (debt)/surplus	**2,400.21**	**302.54**
Total Equity	3,596.16	1,623.11
Gearing ratio	0%	0%

Note 25

The details of amounts due to suppliers under The Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act) as at March 31, 2024 and March 31, 2023 by the Company. The disclosure pursuant to the said act is as under:

Particulars	As at March 31, 2024	As at March 31, 2023
(a) the principal amount and the interest due thereon remaining unpaid to any supplier at the end of each accounting year:		
- Principal	16.12	39.32
- Interest	-	-
(b) the amount of interest paid by the buyer in terms of Section 16 of the MSMED Act, along with the amount of the payment made to the supplier beyond the appointed day during each accounting year;	-	-
(c) the amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under this MSMED Act;	-	-
(d) the amount of interest accrued and remaining unpaid at the end of the each accounting year; and	-	-
(e) the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under Section 23 of the MSMED Act.	-	-

The information has been determined to the extent such parties have been identified on the basis of the information available with the Company.

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Note 26
Segment information

The management has assessed the identification of reportable segments in accordance with the requirements of Ind AS 108 'Operating Segment' and believes that the Company has only one reportable segment namely "CPaaS service provider".

Geography-wise details of the Company's revenues from customers and its non-current assets are given below:

(i) Analysis of Company's revenues based on the location of the customers:

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
India	5,208.75	5,535.23
Rest of the world	-	-
Total	**5,208.75**	**5,535.23**

(ii) Analysis of Company's non-current assets (property, plant and equipment and other non-current assets) based on the location of the assets:

Particulars	As at March,31 2024	As at March 31, 2023
India	532.12	758.06
Rest of the world	-	-
Total	**532.12**	**758.06**

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Note 27
Revenue from operations

(a) Revenue recognised from customer contracts

Particulars	As at March 31, 2024	As at March 31, 2023
Revenue recognised from customer contracts	5,208.75	5,535.23
Less: Impairment losses recognised	-	-
Total Revenue	**5,208.75**	**5,535.23**

(b) Disaggregate revenue information

The Company disaggregates the revenue from customers by types of services rendered geographically which is Primarily from A2P SMS Services and ancillary services related to A2P SMS services. The Company believe that this disaggregation best depicts how the nature, amount, timing and uncertainty of the revenues and cash flows are affected by industry, market and other economic factors.

Geographic revenue

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Overseas	-	-
India	5,208.75	5,535.23
Total	**5,208.75**	**5,535.23**

(d) Timing of revenue recognition

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Point in time	5,208.75	5,535.23
Over time	-	-
Total Revenue	**5,208.75**	**5,535.23**

(c) Movement in expected credit loss during the period:

Particulars	March 31, 2024	March 31, 2023
Opening balance (A)	-	-
Additional provision/(reversal) (net)	-	-
Write off as bad debts	-	-
Closing Balance (B)	-	-

(d) Contract balances
Following table covers the movement in contract balances during the period:

Particulars	Contract Asset March 31, 2024	Contract Asset March 31, 2023
Opening balance (A)	1,015.44	290.32
Add/(Less):Revenue recognised during the year	5,208.75	5,535.23
Add/(Less):Progress bills raised during the year (net of adjustments)	(6,063.11)	(4,810.11)
Closing Balance (B)	**161.08**	**1,015.44**

Contract liabilities as at March 31, 2024 is Nil and as at March 31, 2023 is Nil

Hyderabad
Chartered Accountants

Tanla Digital (India) Private Limited
Hyderabad

Tanla Digital (India) Private Limited
Notes forming part of the Financial Statements for the year ended March 31, 2024
(All amounts are in INR Lakhs, except for share data and where otherwise stated)

Note 28: Related Party Disclosures

A) List of Related Parties:
(i) Name of the Related Party

Name of the Related Party	Country of Incorporation	Relationship
Tanla Platforms Limited	India	Ultimate Holding Company
Tanla Digital Labs Private Limited	India	Holding Company
Tanla Mobile Asia Pacific Pte Limited	Singapore	Entity under common control
Karix Mobile Private Limited	India	Entity under common control
Tanla Digital Labs FZ-LLC	UAE - Dubai	Entity under common control
Tanla Foundation	India	Entity under common control
Gamooga Softtech Private Limited	India	Entity under common control
Tanla Digital Labs Private Limited., London,(UK) (w.e.f June 22, 2022)	United Kingdom	Entity under common control
Valuefirst Connect Private Limited (w.e.f July 03,2023)	India	Entity under common control
Transcendent Communications Private Limited (w.e.f July 03,2023)	India	Entity under common control
Communique Technology Private Limited (w.e.f July 03,2023)	India	Entity under common control
Instacamp Marketing Private Limited (w.e.f July 03,2023)	India	Entity under common control
Octane Marketing Private Limited (w.e.f July 03,2023)	India	Entity under common control
Unimobile Messaging Solutions LLP (w.e.f July 03,2023)	India	Entity under common control
Navin Communications LLP (w.e.f July 03,2023)	India	Entity under common control
Supertech Communications LLP (w.e.f July 03,2023)	India	Entity under common control
Srinand Communications LLP (w.e.f July 03,2023)	India	Entity under common control
Mobtel Services LLP (w.e.f July 03,2023)	India	Entity under common control
Ontime Communications LLP (w.e.f July 03,2023)	India	Entity under common control
Eyespot Technologies LLP (w.e.f July 03,2023)	India	Entity under common control
Valuefirst Technologies Inc. America (w.e.f July 03,2023)	USA	Entity under common control
Valuefirst Digital Media Pte. Limited (w.e.f July 03,2023)	Singapore	Entity under common control

(ii) Key Managerial Personnel
D. Uday Kumar Reddy - Director
Aravind Viswanathan -Director
Rohit Bhasin- Independent Director
Rahul Khanna- Independent Director
Amrita Gangotra-Independent Director

B) Related party Transactions:

Nature of Transactions Particulars	Transactions Dr/Cr As at March 31, 2024	Transactions Dr/Cr As at March 31, 2023
Tanla Digital FZ LLC		
Services received	1,471.07	1,976.95
Tanla Digital Labs Private Limited		
Services received	1,004.30	976.51
Reimbursement of expenses	747.72	-
Tanla Platforms Limited		
Rent expense	0.48	0.48
Other advance given/(taken)	(16.80)	(7.77)
Tanla Mobile Asia Pacific Pte Limited		
Sale of services	-	(136.52)

Tanla Digital (India) Private Limited ★ Hyderabad

Particulars	Outstanding as at March 31, 2024-Dr/(Cr)	Outstanding as at March 31, 2023-Dr/(Cr)
Karix Mobile Private Limited		
Trade receivables	155.52	172.80
Tanla Digital Labs Private Limited		
Trade Payables	422.47	-
Other financial liabilities	(495.27)	(1,187.89)
Tanla Platforms Limited		
Other financial liabilities	(145.49)	(146.15)
Trade payables	(16.39)	-
Tanla Mobile Asia Pacific Pte Limited		
Trade payables	-	(894.03)
Tanla Digital FZ LLC		
Trade receivables	(632.28)	(1,855.70)

C) Transactions with key management personnel

Nature of Transactions Particulars	Transactions Dr/Cr As at March 31, 2024	Transactions Dr/Cr As at March 31, 2023
Salaries and other employee benefits to KMP	-	-
Other benefits to non-executive directors	15.00	-

Particulars	Outstanding as at March 31, 2024-Dr/(Cr)	Outstanding as at March 31, 2023-Dr/(Cr)
Salaries and other employee benefits to KMP	-	-
Other benefits to non-executive directors	-	-

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Tanla Digital (India) Private Limited
Notes forming part of the Financial Statements for the year ended March 31, 2024
(All amounts are in INR Lakhs, except for share data and where otherwise stated)

29. Ratio analysis

Particulars	Numerator	Denominator	March 31, 2024	March 31, 2023	Variance	Variance Reasons
(a) Current ratio	Current assets	Current liabilities	3.71	1.19	210.15%	Increase in cash and bank balances and reduction in trade payables and decrease in accrued income resulted in increase current ratio
(b) Debt-equity ratio	Total debt	Shareholders equity	NA	NA	NA	Note 1
(c) Debt Service Coverage ratio	Net profit after taxes+ Non-cash operating expenses +finance cost	Interest payments+Principal repayments	NA	NA	NA	Note 1
(d) Return on equity ratio	Net profits after taxes	Average shareholders equity	0.76	0.98	-23.16%	Note 1
(e) Trade receivables turnover ratio	Net sales	Average trade and unbilled receivables	2.81	1.06	166.08%	Increase in collections and decrease in Accrued income leads to reduction in trade receivable turnover ratio
(f) Trade payables turnover ratio	Cost of services+connectivity expenses+other expenses	Average Trade Payables and other payables towards cost of services + expenses	6.95	0.92	654.65%	Payments to trade creditors and decrease in unbilled cost resulted in decrease in trade payables ratio
(g) Net capital turnover ratio	Net sales	Working capital=Current assets-Current liabilities	1.67	6.12	-72.71%	Increase in cash and cash equivalence and reduction in trade payables have resulted in reduction in Net capital turnover ratio.
(h) Net profit ratio	Net profit after taxes	Net sales	0.38	0.29	31.28%	Increase in gross margin and reduction in operating expenses have resulted in increase in profit ratio.
(i) Return on capital employed	Earnings before interest and taxes	Capital employed=Total equity	0.73	1.32	-44.15%	Decrease in return on capital employed is because of accumulation of reverses and surplus.
(j) Return on investment	Interest income	Average fixed deposits	NA	NA	NA	Note 1

Note 1: As the variation in the respective ratios does not exceed 25% in absolute terms, no explanation is provided for the variance.
Note 2: Inventory turnover ratio has not been disclosed as the Company does not hold any inventory and the same is not applicable.

30. Other regulatory information

i. The Company does not have any Benami property, where any proceeding has been initiated or pending against the company for holding any Benami property under the Benami Transactions (Prohibitions) Act, 1988 and the rules made there under.

ii. The Company does not have any transactions with companies struck off under section 248 of the Companies Act, 2013.

iii. The Company does not have any charges or satisfaction which is yet to be registered with ROC beyond the statutory period.

iv. The Company has not traded or invested in Crypto currency or Virtual Currency during the financial year.

v. The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.

vi. The Company has not advanced or loaned or invested funds to any other person or entity, including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
(a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or
(b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

vii. The Company has not received any fund from any person or entity, including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Group shall:
(a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
(b) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

viii. The Company does not have any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961).

31. Previous year figures have been regrouped/reclassified wherever necessary to correspond with current year's classification/disclosures.

As per our report of even date attached
For M S K A & Associates
Chartered Accountants
Firm Registration No. 105047W

Mukesh Kumar Pugalia
Partner
Membership No. 221387

Place: Hyderabad
Date: April 25, 2024

For and on behalf of the Board of Directors of
Tanla Digital (India) Private Limited
CIN: U72900TG2021PTC152756

D. Uday Kumar Reddy
Director
DIN: 00003382

Place: Hyderabad
Date: April 25, 2024

Aravind Viswanathan
Director
DIN: 08036024

Place: Hyderabad
Date: April 25, 2024

Tanla Digital (India) Private Limited ★ Hyderabad